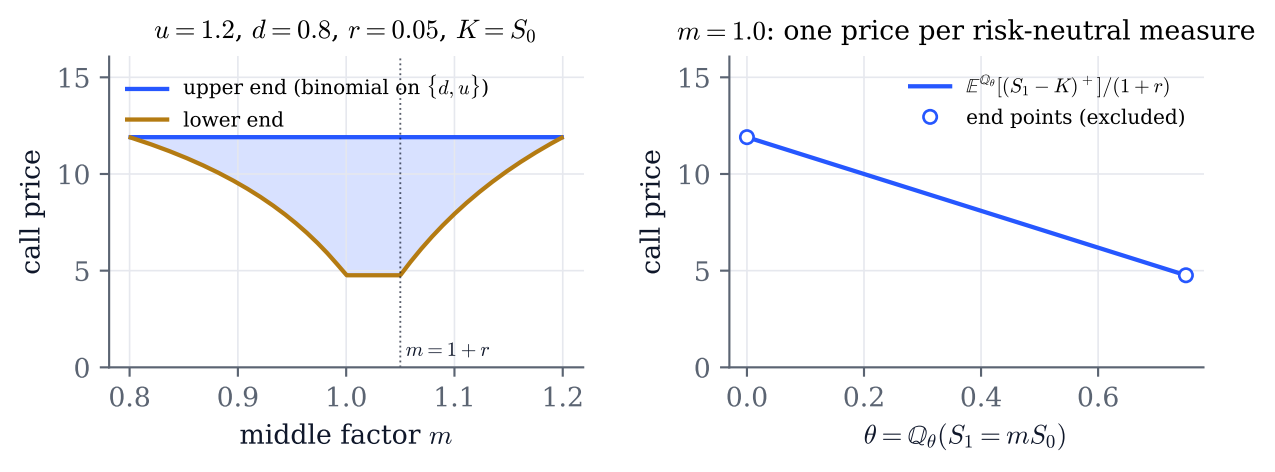
$u = 1.2,\ d = 0.8,\ r = 0.05,\ K = S_0$
upper end (binomial on $\{d, u\}$)
lower end
$m = 1 + r$
call price
middle factor m
0
5
10
15
0.8
0.9
1.0
1.1
1.2
$m = 1.0$: one price per risk-neutral measure
$\mathbb{E}^{\mathbb{Q}_\theta}[(S_1 - K)^+]/(1+r)$
end points (excluded)
call price
$\theta = \mathbb{Q}_\theta(S_1 = mS_0)$
0.0
0.2
0.4
0.6